

Draft --- Performance Work Statement --- DRAFT
Host Nation Payroll Services

1. Introduction:

Commander, Navy Region Europe, Africa Central (CNREURAFCENT) Payroll Office, located in Naples Italy, provides payroll and time & attendance services for Host Nation (HN) employees located in Italy, Bahrain, Romania, Saudi Arabia, Spain and Greece, and other locations within our area of responsibility (AOR) as may be required. Currently, CNREURAFCENT manages Timekeeping and Payroll of approximately 4000 HN employees.

CNREURAFCENT requires a Federal Risk and Authorized Management Program (FEDRAMP) authorized and Defense Information Systems Agency (DISA) approved time and attendance and payroll management system Software as a Service (SaaS) platform to support Host Nation payroll services.

Definitions:

- 1.1. Host Nation (HN): All the employees other than US citizens, who are locally hired to work for the US Navy in Italy, Bahrain, Romania, Saudi Arabia, Greece and Spain, and additional country locations as required.
- 1.2. Time and Attendance System: An online SaaS portal where HN employees enter time and attendance and where supervisors certify time and attendance.
- 1.3. Payroll Management System: a SaaS solution that automates the management of employee payments by integrating with the timecard application.
 - i Calculates employee wages, deductions and taxes.
 - ii Ensures error-free calculations and compliance with labor laws.
 - iii May disburse salaries and manage financial obligations related to employee payments.
 - iv Integrates with the time and attendance system to ensure accurate pay for hours worked and leave taken.
 - v Streamline the payroll process to save time and resources for the organization.

2. Background:

The Gestione Presenze (GeRIP) is an integrated SaaS platform that has been configured for U.S. Navy payroll and e-time keeping requirements. GePe is GeRIP's associated payroll software.

GeRIP/GePe is the current timekeeping and payroll management system supporting HN timekeeping and payroll services for Bahrain, Italy, Romania, and Saudia Arabia. The current Time & Attendance / Payroll Software system leverages a SaaS platform thorough an Italian software company using proprietary software known as GePe. The software is configured for U.S. Navy payroll and e-timekeeping services supporting locations in Italy, Bahrain, Romania, Saudi Arabia, Spain, and Greece. The software is built to handle Italy's complex time, attendance, and payroll rules while also being able to support any applicable laws for the aforementioned countries.

3. Scope of Work:

The contractor shall provide a hosting solution on a dedicated hardware infrastructure to host the software and database to be used by the Government payroll office for HN payroll and time keeping functions.

During the period of performance, the contactor shall provide written manuals for both the timekeeping and payroll system.

The integrated software portal shall be accessible by Navy ONENET and/or equivalent government networks, using the CAC/Alt Token card.

Timekeeping and Payroll Software as a Service will provide the following.

3.1 Timekeeping, Attendance and Payroll Scope Overview:

- 3.1.1 **Time Entry** - Clock-in/out via web portal and mobile app.
- 3.1.2 **Time-Off Management** - Request, approval, and tracking for paid time off (PTO), sick leave, and holidays.
- 3.1.3 **Rules & Policy Engine** - Automated calculation of breaks, overtime, and shift differentials.
- 3.1.4 **Payroll Processing** - Calculation: Gross-to-net calculations, including all wages, and bonuses. Deductions: Management of pre-tax and post-tax deductions (benefits, garnishments, retirement). Reports for Tax Filing: Automated calculation to support payroll taxes. Pay Distribution: Direct deposit and/or check printing services.
- 3.1.5 **Reporting & Analytics** - Standard Reports: Payroll registers, tax summaries, employee hours, time-off accruals, and labor distribution. Custom Reporting: Tools for the client to build and save custom reports. Audit Trails: Comprehensive logging of all system changes and approvals.
- 3.1.6 **Employee Self-Service (ESS)** - Access: Mobile and/or web portal access for employees. Functions: View pay stubs, applicable tax forms, update personal information, request time off, and view benefits.
- 3.1.7 **Compliance & Security:**
 - a. Regulatory Adherence: Ensure calculations and reporting meet all applicable HN Government labor laws.
 - b. Data Security: Upon contract award, the contractor must seek DISA FedRAMP+ authorization for this SaaS, as required by US Government law and Department of War (DOW) regulation. Contractor will provide all required documentation required and perform continuous security scans as directed by CNREURAFCENT to pursue and maintain FedRAMP+ authorization.
 - c. US LAW Section 508 Compliance is required.
- 3.1.8 **Local Law Compliance** – The SaaS will enable sufficient flexibility to comply with host nation labor laws. For example, Italy requires employees receive medical certificates from the employee's doctor. These medical certificates must be properly stored in a medical certificate management module. The SaaS must allow the flexibility to modify or add modules as required as local laws change. The SaaS must allow flexibility for the CNREURAFCENT Payroll Management Office to update pay-table and tax calculations.
- 3.1.9 **Service Level Agreement (SLA)** – System Availability: guaranteed uptime of 99.9% during European and Middle East workhours. Note: Sunday is a regular workday in Bahrain and Saudia Arabia. Support: technical support available during European and Middle East workhours. Maintenance & Upgrades: It is the vendor's responsibility for all system maintenance, bug fixes.

3.2 Payroll Software:

- 3.2.1 Earning and Deduction Calculations
- 3.2.2 Automatic Overtime Calculations
- 3.2.3 Family Allowances Calculations
- 3.2.4 End of Employment (EoE) Calculation (TFR -Trattamento Fine Rapporto, Final Lump sum for Italian, Spanish, or Romanian employees or INDEMNITY-final lump sum for Bahrain and Saudi Arabia employees)
- 3.2.4 Pension Contribution Calculations
- 3.2.6 National Insurance Contributions
- 3.2.7 Tax Calculation (National and Local)
- 3.2.8 Parental Pay and Leave Support
- 3.2.9 Employee Demographics
- 3.2.10 Holiday/Vacation Pay Support

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- 3.2.11 Retrospective Payments (Back pay)
- 3.2.12 Interface with eBanking systems (i.e.: EFT, Tax payments)
- 3.2.13 HN Tax Forms and Reports
- 3.2.14 Interfaces with Government Agencies for Tax payments and Reports
- 3.2.15 Pay stubs
- 3.2.16 Amounts calculated in each local currency with 2 or 3 decimals as requested by the Government

3.3 Calculations and Reports: The software shall have the capability to produce all of the calculations and generate all the forms and reports required from U.S. Navy regulations as follows:

- 3.3.1 Labor and Job Costing
- 3.3.2 Labor Distribution
- 3.3.3 Leave Balance Reports (for all type of leave)
- 3.3.4 LN Employee Health Plan module for Italian employees only
- 3.3.5 Loans Management
- 3.3.6 Disbursement Rates and Flux Line calculations (i.e.: budget rate, daily rate)
- 3.3.7 Interface with E-Timecard Recording System
- 3.3.8 Interface with SABRS
- 3.3.9 Interface with WYPC
- 3.3.10 HN Pay Slip for all supported installations including all pay elements, leave balances and taxes applied in compliance with Local National Financial requirements IAW Local COE, law and regulations. Through the JCPC (Joint Civilian Personnel Committee) and the update received from the Contractor and analyzed by the Payroll Office to verify the applicability (total/partial or Non Applicable) the system must be always updated to reflect the latest Fiscal and social security requirements for all countries served.
- 3.3.11 Local National End of Employment (EOEP) Computation Work Sheet based on current local regulations
- 3.3.12 Activity report –To reflect direct labor, fringes and any final lump sum. The report will be generated in dollars and HN local currency.
- 3.3.13 Social Security report for all countries served
- 3.3.14 The software program shall allow CNREURAFCENT payroll personnel to create customized reports based on a specific requirement.
- 3.3.15 The contractor shall provide all software, compilers, and tools that will be required to implement, maintain, modify, and process the Payroll software.
- 3.3.16 The Contractor shall provide timely updates to maintain and ensure the Payroll software remains in compliance with all applicable Italian, Bahraini, Romanian, Greek, Spanish and Saudi Arabian law and regulation concerning Payroll/labor.

3.4. E-Timecard Software:

- 3.4.1 The software shall track the accurate time & attendance for all the local national employees based on the Work Schedule assigned to each employee on the SF-50 Form of action code 171, "Excepted Appointment", and on the equivalent action codes which define whether the employee works 40 or 48 hours/per week, part time or temporary,
- 3.4.2 The system shall have the feature of defining the week-off day(s) per employee or group of employees.
- 3.4.3 The system shall have the option to define a local national employee's work shift, if any.
- 3.4.4 The system shall have the capability of generating the work schedule records per employee per day for a specific user entered period, taking into consideration their defined week off-day(s) and work tour.
- 3.4.5 The system shall have the feature of enabling the user to edit the generated work schedule (day tour) for a specific employee and a specific day.

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- 3.4.6 E-timecard shall be customizable to accommodate the pay periods of the different countries
- 3.4.7 The work week shall drive the allowances that will be generated for each country based on local condition of the employment. Allowances are generated on weekly basis for each country served.

Location	Pay Period	Work Week	Notes
Italy	From the 1 st to end of each month	Monday – Friday	For all locations, the system shall automatically generate the Attendance screen with the current pay period.
Bahrain	From the 1 st to end of each month	Sunday – Thursday	
Romania	From the 1 st to end of each month	Monday - Friday	
Saudi Arabia	Follows US Pay Period schedule	Sunday - Thursday	
Greece	From the 1 st to end of each month	Monday - Friday	
Spain	From the 1 st to the 15 th From the 16 th to end of each month	Monday - Friday	

- 3.4.8 For each local national employee, the system shall create a profile that will automatically show the following:
- Employee Number: The serial number of the employee in the system
 - Employee Name: The employee name as recorded in the system Personnel
 - Employee Department (Dept): The employee's department as shown under the Personnel Section
 - Employee Organization (Org): The employee organization as recorded in the system Personnel part
 - Employee Branch: The employee branch as recorded in the system Personnel
 - Pay Period Start: The attendance sheet corresponding pay period start date
 - Employee: Service computation date
- 3.4.9 The system shall consider the employee to be present in the office in accordance with his/her work schedule and will record only the exceptions to this.
- 3.4.10 The Software shall have a Sheet Entry Screen like the Attendance Sheet form where the employee can input the time & attendance information into the system. The Sheet Entry Screen shall have the following features:
- The hours shall be posted only for exceptions work codes (work codes other than the regular (RG) and its corresponding hours). The system automatically assumes that employees are working regular hours based on the Work Schedule generated on the top of the Time attendance sheet.
 - The screen shall validate the entered data in different ways to ensure the integrity of information.
 - The work codes shall be selected from a list defined in the system by the payroll office.
 - The sum of the hours entered in a day for exceptions work codes shall be validated to not exceed the employee daily work tour assigned.
 - Timecard, overtime (i.e., compensatory time), and leave requests must be digitally signed. The signature and date shall be shown on the printout.
 - The system shall have a multi-level routing for justifications and timecard approval process.
 - Leave requests shall be validated in real time against the corresponding employee's leave balance. The program will disallow the leave amount requested more than the employee's current balance by informing the employee via an error message.
 - Enable software users to upload supporting documentation. For example, specialist medical visits, voting leave, compulsory maternity leave absence.
- 3.4.11 Information entered in the E-timekeeping shall be transferred into the payroll database for processing once the pay period is completed and timecard has been approved. The system will generate e-mail notification every time there is an action subject to the approval process. In addition, 2/3 days before the cut-off date, the system will send a reminder email to the supervisor, informing the supervisor of a pending action.

3.5. Hosting Services:

- 3.5.1 The contractor shall provide CNREURAFCENT a dedicated hosting environment for this requirement. The hosting environment, where the applications and data base exist, must be exclusively reserved for the U.S. Navy, and only accessible by authorized US Navy personnel and authorized contractors.
- 3.5.2 The SaaS must be compliant with applicable HN data protection laws for the entire life of the contract. The vendor must achieve and maintain an ISO/IEC 27001 by an ISO accredited registrar for the life of the contract.
- 3.5.3 If there is a suspected or known breach/disclosure of Personally Identifiable Information (PII) due to loss, theft, intercepted transfer, or other, the Contractor must ensure that this breach is reported to CNREURAFCENT as soon as the Contractor has knowledge of it.
- 3.5.4 The infrastructure hardware of the dedicated environment shall meet the following minimum Server requirements: 1 Frontend Server, 1 Application Server, 1 Reporting Server, 1 Database Server, 1 Citrix + Application Server or equivalent.
- 3.5.5 Payroll software must integrate with a back-end Relational Database Management System- (for example: Oracle, Microsoft SQL, Server, MySQL, PostgreSQL, etc.) to store and retain all the payroll data. All database files must be continuously available to the US Navy and transferred back to the US Navy upon termination of the contract.
- 3.5.6 The software shall be available and modifiable to allow CNREURAFCENT to administer, request updates and customize Navy and/or Department of Defense-related payroll and timekeeping requirements. All routines, programs and software (including source code) shall be available to the CNREURAFCENT on a dedicated platform with unlimited access.
- 3.5.7 CNREURAFCENT shall be granted at least two Administrator access roles to create, modify and cancel user account roles.
- 3.5.8 The E-Timecard module shall be available on-line on a secure site and accessible to all applicable HN employees via web browser. The number of users (which includes supervisors of HN employees) will be approximately 4,000.
- 3.5.9 The maximum number of users required to simultaneously access the application is approximately 20-30% of registered users.
- 3.5.10 The contractor will provide a disaster recovery service and will be responsible for backup services ensuring the integrity of data, including backup media storage and data recovery. E-timecard application must be up and running within 48 hours.
- 3.5.11 The SaaS described in this contract shall be modifiable to add other payroll and time keeping services for future expansion to include HN employees at other DoW/Navy installations.

3.6 Additional Support

- 3.6.1 The contractor shall be able to provide technical support for any issue affecting the payroll environment in 24 hours or less.
- 3.6.2 Contractor personnel shall be available for assistance during working hours Monday through Friday from 0800hrs to 1700hrs Central European Time (CET). The contractor shall respond by telephone or in person, ensuring that problem is resolved to the satisfaction of the COR.
- 3.6.3 E-timecard must be available 24/7.
- 3.6.4 Data Onboarding and Transition

4. Deliverables:

The contractor should provide the following Deliverables.

- 4.1. Software documentation (user's manuals, and software manuals).
 - 4.2. Any documentation regarding changes related to Software updates, due to changes in the laws or any other system updates.
 - 4.3. End of contract program and technical support to transfer data and process flows to awarded contract.
 - 4.4. Upon request, contractor will provide archived and current HN personnel data currently held in the SaaS platform.
 - 4.5. The contractor shall deliver products and/or services that provide the features described in the above standards, or equivalent salient characteristics.
 - 4.6. The contractor shall provide product support documentation and services (i.e. help desk and training) in alternate formats for users with disabilities. Contractor conformance with this requirement is a material term of the contract.
 - 4.7. Proof of ISO / IEC 27001 certification at contract start.
 - 4.8. Complete and submit the Cloud Assessment Division DISA Cloud CSP Onboarding Questionnaire.
 - 4.9. Upload cyber security documentation and scans to DOW's Cloud Enterprise Mission Assurance Support Service (eMASS).
- a. Readiness Assessment Report (RAR)
 - b. System Security Plan (SSP)
 - c. Security Assessment Plan (SAP)
 - d. Security Assessment Report (SAR)
 - e. DoD SSP Addendum
 - f. CSO Architecture/Data Flow Diagrams
 - g. Monthly Vulnerability Scans (Continuous Monitoring Reporting)
 - h. Plan of Actions and Milestones (POA&M)
 - i. Authorization Recommendation
 - j. DoD PA
 - k. Other Cyber Security Artifacts upon request.

- 5. Place of Performance:** CNREURAFCENT is located at Capodichino, Naples, Italy.